

Something as simple as the application of 12-month absolute momentum gives impressive results. Average annual return increases by more than 200 basis points over the S&P 500 Index by itself, while the annual standard deviation drops by more than 3%. Maximum drawdown goes from over 50% to less than 30%. [Figure 8.1](#) shows graphically how absolute momentum sidesteps severe bear market drawdowns, as it did in both 2000 and 2008, while capturing most of the markets upside gains. This is another chart you should stare at until the message fully sinks in.

Being a long-term trend-following approach, absolute momentum will not respond to short-term market corrections such as the one that occurred in October 1987. That may be a good thing, since sharp corrections like that often create oversold conditions followed by quick market rebounds. Long-term market tops usually take some time to form as the markets transition from a state of accumulation to a state of distribution. Market technicians look for patterns such as double tops or head-and-shoulder formations to identify such transitional states.

As you can see from [Figure 8.1](#), absolute momentum, being trend following in nature, was not able to exit at the exact market tops in 1981, 1989, 2000, or 2007. However, absolute momentum gave back relatively little in accumulated profits before exiting stocks. It would have taken us out of harm's way early during each bear market.

During bull markets, absolute momentum usually stays dormant, acting as a form of stop loss. However, unlike an actual stop loss, absolute momentum has an inherent way to reenter the market once the trend turns positive again.

Professional money managers would gladly give up their firstborn for long-term results that are as good as the absolute momentum results shown in [Table 8.1](#). We can clearly see how effective absolute momentum is when applied to the U.S. stock market. All stock market investors and professional money managers would do well to take notice of absolute momentum.

APPLIED RELATIVE MOMENTUM

In order to use relative strength momentum, we need to have two or more assets to choose from. The MSCI All Country World Index (MSCI ACWI) is